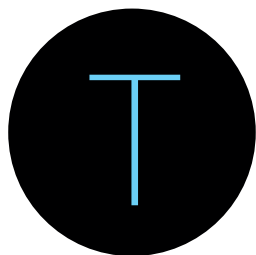


Towards a Charged-up Economy

The trinity of Jan Dhan account, Aadhaar and mobile has brought in a new era of financial inclusion; mutual funds, meanwhile, are set to enhance household wealth in the country



THE INDIAN ECONOMY has come a long way over the past 75 years. Today, it is the fifth-largest economy in the world and has entered the world's top five in terms of overall market capitalisation.

India is also the largest democracy. Its large population presents a great opportunity. It acts as a base for domestic consumption-based growth, while also presenting a large demographic dividend. The Covid-19 pandemic has created the need to have alternate supply chains outside of China, with India well-positioned to leverage the windfall gains of the China-plus 1 strategy. The country recently celebrated its 100th Unicorn and the government's efforts to create an entrepreneurial ecosystem and facilitate the growth of early-stage start-ups must be acknowledged.

The Government of India under PM Narendra Modi has taken some formative steps to empower Bharat. The 'Make in India' and PLI schemes are steps towards boosting Indian manufacturing,



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attracting FDI and creating employment opportunities. India has been at the forefront of technology adoption within the financial system. One example of this is UPI that has revolutionised the financial ecosystem and helped simplify financial transactions. In FY22, UPI processed more than 46 billion transactions amounting to over ₹84.17 lakh crore. The trinity of Jan Dhan account, Aadhaar and mobile has brought in a new era of financial inclusion.

Channelling India's household savings: The past few decades have been nothing short of a revolu-

tion with more and more Indian citizens set forth on the path of wealth creation. Reserve Bank of India (RBI) data reflects that of the roughly ₹56 lakh crore in gross savings generated in FY22, households chipped in with nearly ₹44 lakh crore. Of this, about ₹31 lakh crore was allocated to financial assets. The turnaround post demonetisation, and the increased acceptance of market-linked instruments in a low-interest rate environment during the pandemic, has fuelled the preference for financial assets.

Formalisation of savings with instruments like MF: The mutual funds (MF) industry plays an important role in keeping the economic and financial wheels of the country in motion. They help channel household savings into the economy, resulting in a democratic system of letting all participants have a share in India's growth. The MF industry has also helped deepen financial inclusion through investment education initiatives to sensitise citizens.

A big turnaround also happened in the MF industry after demonetisation, leading to big growth and channelling of savings into investments. Innovation in products, process efficiencies, goal-based solutions, the flexibility of investment options and the digital push are some of the reasons leading to increased retail participation in MFs. Assets under management of the